

**UNITED STATES DISTRICT COURT
CENTRAL DISTRICT OF CALIFORNIA**

SECURITIES AND EXCHANGE
COMMISSION,

Plaintiff,

vs.

DAVID P. ORTIZ, and DAVEGLO
INVESTMENT GROUP, INC.,

Defendant.

Case No. 2:25-cv-08610-DSF-MARx

**FINAL JUDGMENT AGAINST
DEFENDANT DAVID P. ORTIZ**

The Securities and Exchange Commission having filed a Complaint and Defendant David P. Ortiz (“Defendant”) having entered a general appearance; consented to the Court’s jurisdiction over Defendant and the subject matter of this action; consented to entry of the partial judgment entered by the Court on December 19, 2025; and waived findings of fact and conclusions of law:

I.

SECTION 5 OF THE SECURITIES ACT OF 1933

IT IS HEREBY ORDERED that Defendant is permanently restrained and enjoined from violating Section 5 of the Securities Act of 1933 (the “Securities Act”), 15 U.S.C. § 77e, by, directly or indirectly, in the absence of any applicable exemption:

- (a) Unless a registration statement is in effect as to a security, making use of any means or instruments of transportation or communication in interstate commerce or of the mails to sell such security through the use or medium of any prospectus or

otherwise;

- (b) Unless a registration statement is in effect as to a security, carrying or causing to be carried through the mails or in interstate commerce, by any means or instruments of transportation, any such security for the purpose of sale or for delivery after sale; or
- (c) Making use of any means or instruments of transportation or communication in interstate commerce or of the mails to offer to sell or offer to buy through the use or medium of any prospectus or otherwise any security, unless a registration statement has been filed with the Commission as to such security, or while the registration statement is the subject of a refusal order or stop order or (prior to the effective date of the registration statement) any public proceeding or examination under Section 8 of the Securities Act, 15 U.S.C. § 77h.

IT IS FURTHER ORDERED that, as provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following who receive actual notice of this Final Judgment by personal service or otherwise: (a) Defendant's officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Defendant or with anyone described in (a).

II.

SECTION 15(a) OF THE EXCHANGE ACT OF 1934

IT IS HEREBY FURTHER ORDERED that Defendant is permanently restrained and enjoined from violating Section 15(a) of the Securities Exchange Act of 1934 (the "Exchange Act"), 15 U.S.C. § 78o(a), by, while acting as a broker or dealer, making use of the mails or any means or instrumentality of interstate commerce to effect any transactions in, or to induce or attempt to induce the purchase or sale of, any security (other than an exempted security or commercial paper,

1 bankers' acceptances, or commercial bills) unless registered as a broker dealer in
2 accordance with Section 15(b) of the Exchange Act, 15 U.S.C. § 78o(b), or associated
3 with a broker or dealer that is registered with the Commission in accordance with
4 Section 15(b) of the Exchange Act, 15 U.S.C. § 78o(b).

5 IT IS FURTHER ORDERED that, as provided in Federal Rule of Civil
6 Procedure 65(d)(2), the foregoing paragraph also binds the following who receive
7 actual notice of this Final Judgment by personal service or otherwise: (a) Defendant's
8 officers, agents, servants, employees, and attorneys; and (b) other persons in active
9 concert or participation with Defendant or with anyone described in (a).

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11 **III.**

12 **SECTION 206(2) OF THE ADVISERS ACT**

13 IT IS HEREBY FURTHER ORDERED that Defendant is permanently
14 restrained and enjoined from violating, while acting as an investment adviser, Section
15 206(2) of the Investment Advisers Act of 1940 (the "Advisers Act"), 15 U.S.C.
16 § 80b-6(2), by using the mails or any means or instrumentality of interstate
17 commerce, directly or indirectly, to engage in any transaction, practice, or course of
18 business that operates as a fraud or deceit upon any client or prospective client by,
19 directly or indirectly, (i) creating a false appearance or otherwise deceiving any client
20 or prospective client, or (ii) disseminating false or misleading documents, materials,
21 or information or making, either orally or in writing, any false or misleading
22 statement in any communication with any client or prospective client, about the use
23 of client funds or compensation to any person, including any associated conflicts of
24 interest.

25 IT IS FURTHER ORDERED that, as provided in Federal Rule of Civil
26 Procedure 65(d)(2), the foregoing paragraph also binds the following who receive
27 actual notice of this Final Judgment by personal service or otherwise: (a) Defendant's
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1 officers, agents, servants, employees, and attorneys; and (b) other persons in active
2 concert or participation with Defendant or with anyone described in (a).

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4 **IV.**

5 **CONDUCT BASED INJUNCTION**

6 IT IS FURTHER ORDERED that pursuant to Sections 21(d)(1) and (5) of the
7 Exchange Act, 15 U.S.C. § 78u(d)(1) and (5), Section 20(b) of the Securities Act, 15
8 U.S.C. § 77t(b), and Section 209(d) of the Advisers Act, 15 U.S.C. § 80b-9(d),
9 Defendant is permanently restrained and enjoined from, directly or indirectly,
10 including but not limited to through any entity he owns or controls, participating in
11 the issuance, purchase, offer, or sale of any security; provided, however, that such
12 injunction shall not prevent Defendant from purchasing or selling securities for his
13 own personal account.

14 IT IS FURTHER ORDERED that, as provided in Federal Rule of Civil
15 Procedure 65(d)(2), the foregoing paragraph also binds the following who receive
16 actual notice of this Final Judgment by personal service or otherwise: (a) Defendant's
17 officers, agents, servants, employees, and attorneys; and (b) other persons in active
18 concert or participation with Defendant or with anyone described in (a).

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20 **V.**

21 **DISGORGEMENT, PREJUDGMENT INTEREST, AND CIVIL PENALTY**

22 IT IS HEREBY FURTHER ORDERED that Defendant is liable for
23 disgorgement of \$816,934, representing net profits gained as a result of the conduct
24 alleged in the Complaint, together with prejudgment interest thereon in the amount of
25 \$170,194, jointly and severally with Defendant DaveGlo Investment Group, Inc.; and
26 a civil penalty in the amount of \$50,000, pursuant to Section 20(d) of the Securities
27 Act, 15 U.S.C. § 77t(d), Section 21(d)(3) of the Exchange Act, 15 U.S.C. § 78u(d)(3),
28 and Section 209(e) of the Advisers Act, 15 U.S.C. § 80b-9(e). Defendant shall satisfy

1 this obligation by paying \$1,037,128 to the Securities and Exchange Commission
2 within 30 days after entry of this Final Judgment.

3 Defendant may transmit payment electronically to the Commission, which will
4 provide detailed ACH transfer/Fedwire instructions upon request. Payment may also
5 be made directly from a bank account via Pay.gov through the SEC website at
6 <http://www.sec.gov/about/offices/ofm.htm>. Defendant may also pay by certified
7 check, bank cashier's check, or United States postal money order payable to the
8 Securities and Exchange Commission, which shall be delivered or mailed to

9 Enterprise Services Center
10 Accounts Receivable Branch
11 6500 South MacArthur Boulevard
Oklahoma City, OK 73169

12 and shall be accompanied by a letter identifying the case title, civil action number,
13 and name of this Court; David P. Ortiz as a Defendant in this action; and specifying
14 that payment is made pursuant to this Final Judgment.

15 Defendant shall simultaneously transmit photocopies of evidence of payment
16 and case identifying information to the Commission's counsel in this action. By
17 making this payment, Defendant relinquishes all legal and equitable right, title, and
18 interest in such funds and no part of the funds shall be returned to Defendant.

19 The Commission may enforce the Court's judgment for disgorgement and
20 prejudgment interest by using all collection procedures authorized by law, including,
21 but not limited to, moving for civil contempt at any time after 30 days following entry
22 of this Final Judgment.

23 The Commission may enforce the Court's judgment for penalties by the use of
24 all collection procedures authorized by law, including the Federal Debt Collection
25 Procedures Act, 28 U.S.C. § 3001 et seq., and moving for civil contempt for the
26 violation of any Court orders issued in this action. Defendant shall pay postjudgment
27 interest on any amounts due after 30 days of the entry of this Final Judgment pursuant
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1 to 28 U.S.C. § 1961. The Commission shall hold the funds, together with any interest
2 and income earned thereon (collectively, the “Fund”), pending further order of the
3 Court.

4 The Commission may propose a plan to distribute the Fund subject to the
5 Court’s approval. Such a plan may provide that the Fund shall be distributed pursuant
6 to the Fair Fund provisions of Section 308(a) of the Sarbanes-Oxley Act of 2002. The
7 Court shall retain jurisdiction over the administration of any distribution of the Fund,
8 and the Fund may only be disbursed pursuant to an Order of the Court.

9 Regardless of whether any such Fair Fund distribution is made, amounts
10 ordered to be paid as civil penalties pursuant to this Judgment shall be treated as
11 penalties paid to the government for all purposes, including all tax purposes. To
12 preserve the deterrent effect of the civil penalty, Defendant shall not, after offset or
13 reduction of any award of compensatory damages in any Related Investor Action
14 based on Defendant’s payment of disgorgement in this action, argue that he is entitled
15 to, nor shall he further benefit by, offset or reduction of such compensatory damages
16 award by the amount of any part of Defendant’s payment of a civil penalty in this
17 action (“Penalty Offset”). If the court in any Related Investor Action grants such a
18 Penalty Offset, Defendant shall, within 30 days after entry of a final order granting
19 the Penalty Offset, notify the Commission’s counsel in this action and pay the amount
20 of the Penalty Offset to the United States Treasury or to a Fair Fund, as the
21 Commission directs. Such a payment shall not be deemed an additional civil penalty
22 and shall not be deemed to change the amount of the civil penalty imposed in this
23 Judgment. For purposes of this paragraph, a “Related Investor Action” means a
24 private damages action brought against Defendant by or on behalf of one or more
25 investors based on substantially the same facts as alleged in the Complaint in this
26 action.

1 VI.

2 **BANKRUPTCY EXCEPTION**

3 IT IS FURTHER ORDERED that, solely for purposes of exceptions to
4 discharge set forth in Section 523 of the Bankruptcy Code, 11 U.S.C. § 523, the
5 allegations in the complaint are true and admitted by Defendant, and further, any debt
6 for disgorgement, prejudgment interest, civil penalty or other amounts due by
7 Defendant under the final judgment or any other judgment, order, consent order,
8 decree or settlement agreement entered in connection with this proceeding, is a debt
9 for the violation by Defendant of the federal securities laws or any regulation or order
10 issued under such laws, as set forth in Section 523(a)(19) of the Bankruptcy Code, 11
11 U.S.C. § 523(a)(19).

12 VII.

13 **RETENTION OF JURISDICTION**

14 IT IS FURTHER ORDERED that this Court shall retain jurisdiction over this
15 matter for the purposes of enforcing the terms of this Judgment.

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19 Dated: April 27, 2026



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21 The Honorable Dale S. Fischer

22 UNITED STATES DISTRICT JUDGE
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